

Digital Workforce Capability Project Review

Capability Plus – Group 2



OUR TEAM



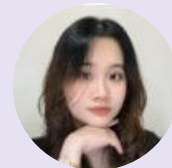
Priyal Agravedi
Leadership, Engagement &
Strategic Alignment



Mranal Shrivastava
Frameworks, Measurement &
Common Capability Language



Shivam Ghai
Technology & Future Skill Needs



Grace Nguyen
Investment & Assurance

MEETING AGENDA

01

Welcome &
Introduction

3 Mins

03

Client Elicitation &
Feedback

10 Mins

02

Research Presentation

20 Mins

04

Summary of
Agreements

5 Mins

Introduction

Safeguarding New
Zealand's \$13
Billion Digital
Pipeline



CONTEXT: Why This Matters Now

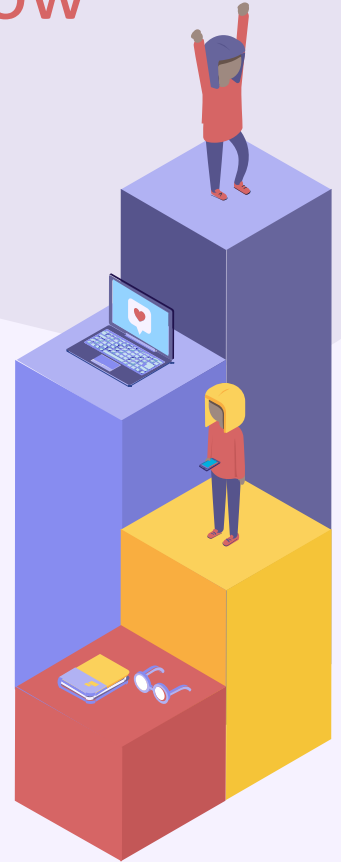
\$13 billion
Digital Pipeline

85%
High-Risks

59%
Delayed or Challenged

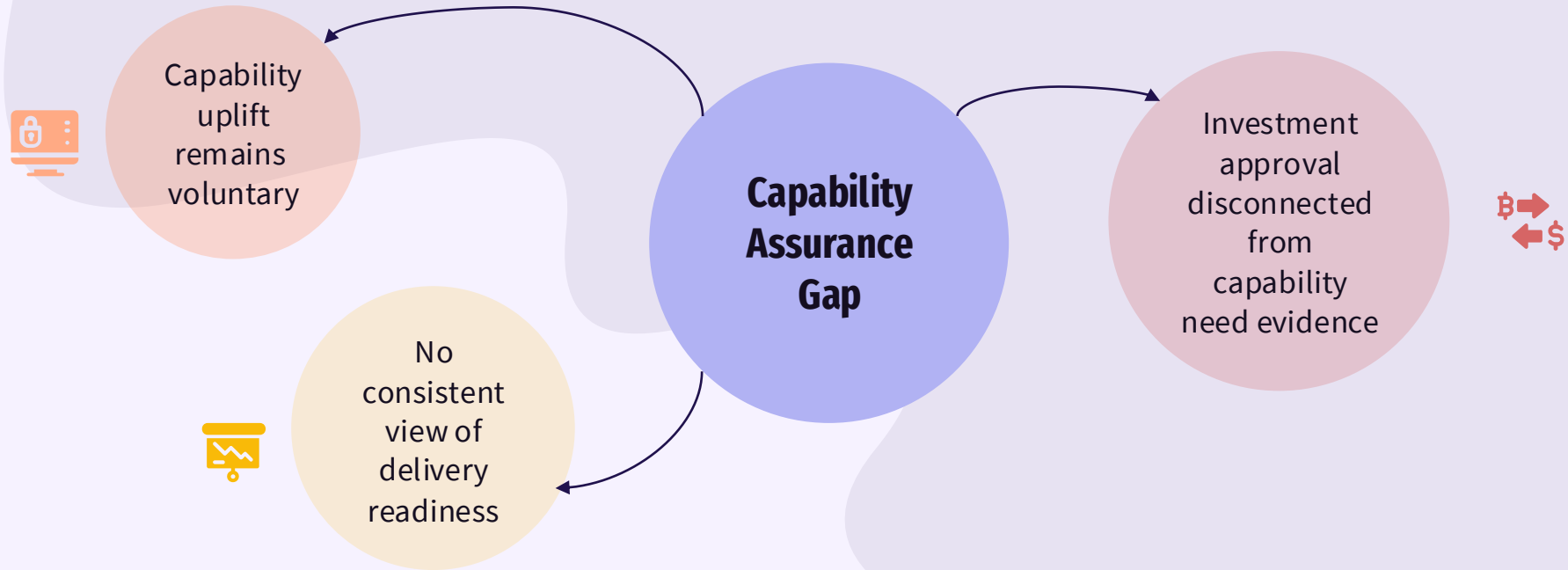
\$1.2–\$3.6B
Savings Mandate & Centralised GCDO Investment

- Digital investment is no longer just about approving business cases. It is about assuring delivery and protecting public value.
- Success is determined by whether agencies actually have the capability to deliver digital transformation projects.



The Problem: The Governance Gap

The system lacks a mechanism to surface evidence of delivery capability readiness in transformation projects.



01

Leadership Engagement Strategic Alignment



The Leadership Literacy Gap

70%



Digital Transformation Failed

25%



Have Right Leaders in Place

33%



Middle Management Commitment



The Core Issue

- Leadership readiness varies significantly across agencies because "engagement" is undefined in DIA's context.
- When roles aren't clearly defined, leadership participation becomes inconsistent and difficult to track

Leadership readiness is variable across agencies because 'engagement' is undefined, creating inconsistent strategic alignment with DS4G objectives. This prevents DIA from assessing progress consistently across the public sector.

Embedding Job Role Accountability

DS4G Strategy

System-wide digital transformation objectives



SFIA-NZ Job Descriptions

Digital capability requirements embedded in role definitions



Observable Accountability Measures

- Attendance at digital strategy forums
- Investment decisions linked to DS4G
- Resource allocation to capability development
- Regular review of digital capability metrics



Performance Reviews & KPIs

Digital literacy as fiduciary duty with measurable outcomes

Current State



Proposed State

- Vague "support digital initiatives"
- Optional engagement
- No accountability measures
- Inconsistent interpretation

- Specific sponsorship behaviors in job descriptions
- Mandatory quarterly capability reviews
- KPIs linked to DS4G outcomes
- SFIA-aligned role clarity

Pilot Deliverable

Leadership Accountability Matrix with SFIA-NZ aligned role definitions, tested with 3 agencies (high/medium/low maturity) over 8 weeks.

Success Measure : 80%+ leaders can articulate their digital role.

02

Framework Common Capability Language



Fragmented Adoption – The Problem

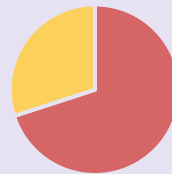
Fragmentation is the core measurement issue.

Without a common capability language, the GCDO cannot compare digital maturity across agencies or identify system-wide skills gaps.

SFIA-NZ is already funded as a whole-of-country licence, but rather the lack of a diagnostic foundation to apply it consistently.

This 70% visibility gap means:

- **No baseline** for technology skills forecasting
- **No accountability data** for leadership engagement metrics
- **No ROI measurement** for investment prioritisation.



■ **Visibility Gap** ■ **Consistent SFIA-NZ Use**

KEY STATISTICS:

- Only ~**30%** of agencies consistently use SFIA-NZ.
- **70% visibility gap** prevents system-wide capability planning.
- **\$13B ICT pipeline** at risk without capability assurance.

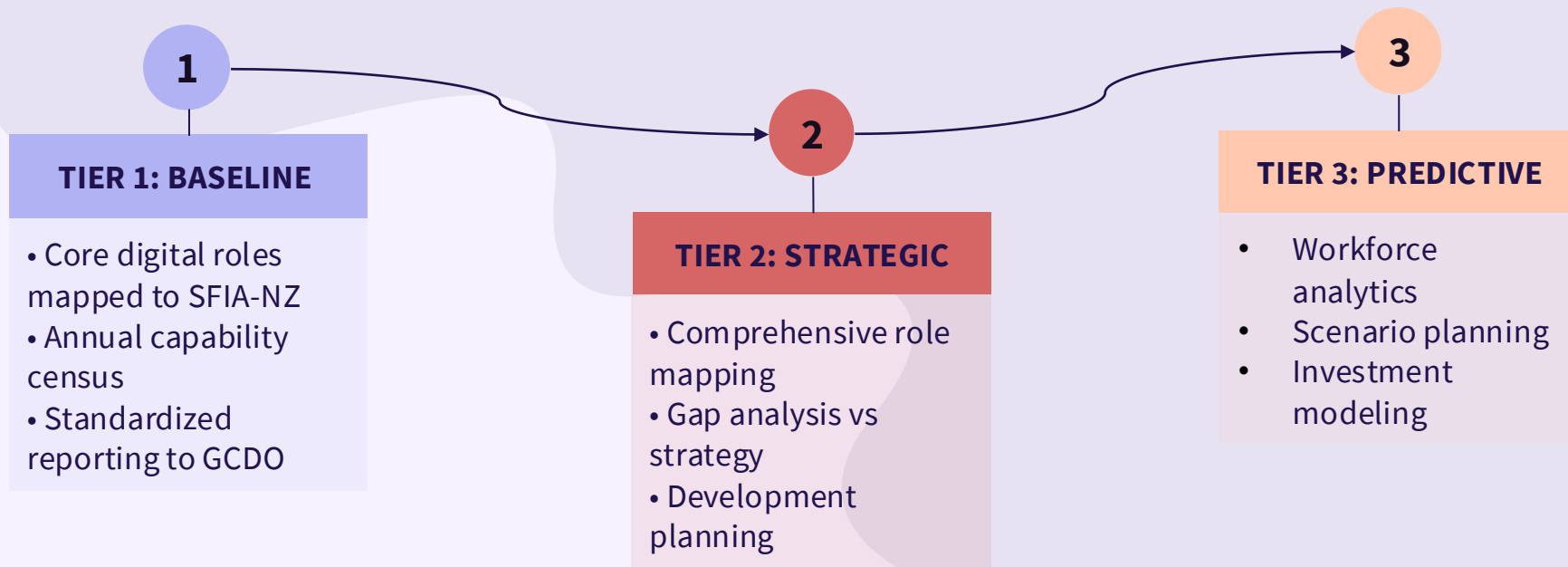
The Three-Tier Capability Model

A phased adoption model starting with a mandatory Capability Needs Analysis (CNA) that establishes a standardised baseline across all agencies.

The CNA requires agencies to identify:

- Required digital capabilities from their strategic plans
- Current proficiency levels

This diagnostic tool moves agencies from discretionary guidance to a standardised, system-wide inventory of proficiency.



03

Technology Future Skill Needs



Technology Outpacing Capability



What Agencies Are Already Using

- 1 Cloud-first services (mandated where feasible)
- 2 Shared platforms: AI tools, APIs, digital identity, data integration
- 3 Live examples: AI virtual assistants, digital wallets



The Capability Risk

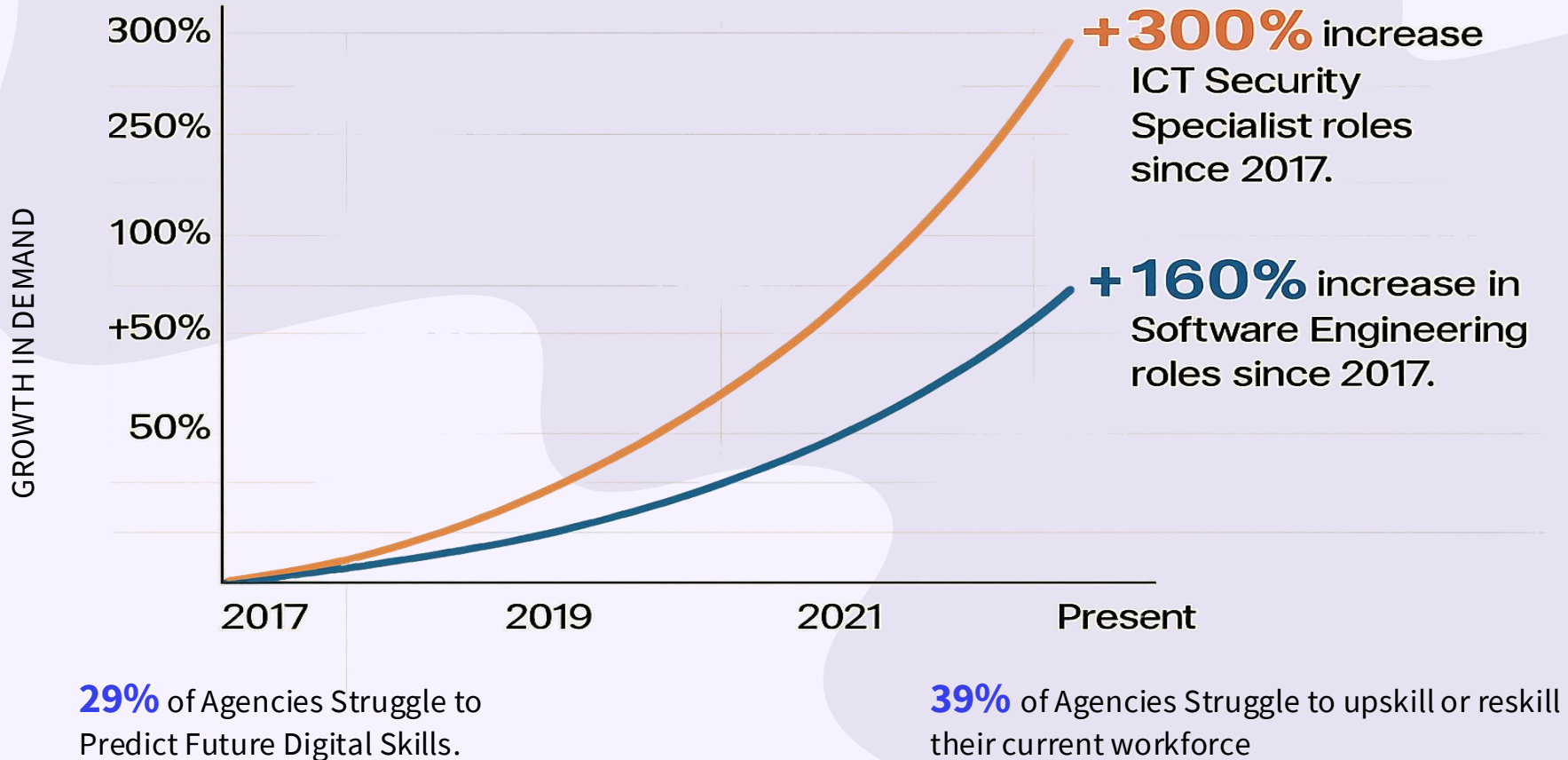
- 1 Only **20%** of agencies actively use SFIA, limiting foresight into AI, cloud, data, and cyber skills.
- 2 As platforms are shared, capability gaps become **system-wide delivery and security risks.**



What's at Stake (Indicative)

- 1 Accelerating public cloud adoption could deliver a **14% reduction in IT costs.**
- 2 This is equivalent to **\$3.6B by 2035**, or approximately **\$360M per year in** unrealized value.

Forecasting Skill Gaps



Emerging Capability Gaps

Capability Area	Current State (From)	Future State (To)	Gap Severity
AI/Automation	Pilots	Broad literacy, oversight,	High Gap
Cybersecurity	Operational response	Resilience, assurance, and risk management	Med-High Gap
Data	Reporting	Governance, advanced analytics, and AI-enabled decisions	High Gap
Cloud/Shared Platforms	Service management	Architecture and integration	Medium Gap

SFIA-NZ and Readiness

SFIA-NZ Strengths

- Provides a common skills language.
- Enables clear role and skill mapping.
- Its leveling structure supports workforce planning.



Current Limitations

- Requires consistent interpretation and uptake to be effective.
- Less explicit for fast-moving AI and hybrid roles.
- Official updates may lag behind rapid technology changes.



04

Investment Assurance ROI & Risk

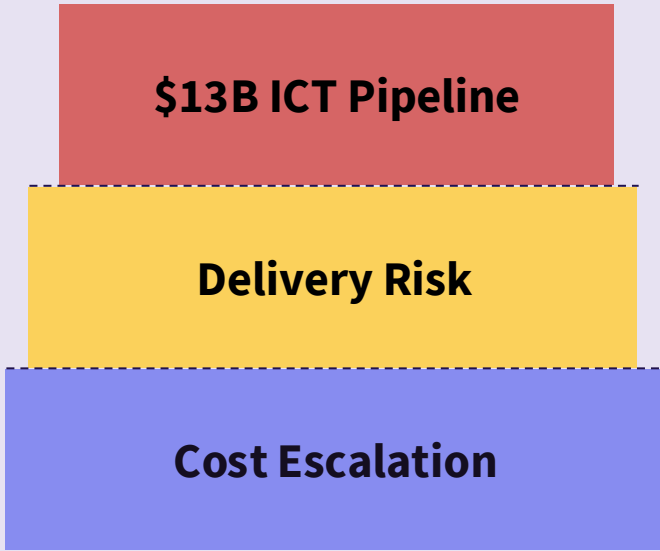
The Investment Reality: **Capability = Cost & Risk**

Capability Is a Fiscal Risk, Not a Workforce Nice-to-Have

85 million

workers shortage by 2030.

- Contractor reliance masks underlying capability gaps.
- Decision-makers lack visibility of true delivery readiness.
- **Funding approved without delivery confidence.**
- **Cabinet exposed to downstream risk.**



\$13B ICT Pipeline

Delivery Risk

Cost Escalation

The Assurance Gap

Why Current Control are Insufficient



What we
have

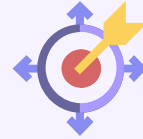
- Better Business Case
- Gateway reviews
- Centralised GCDO investment oversight



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What they
test

- Strategic fit
- Financial viability
- Programme structure



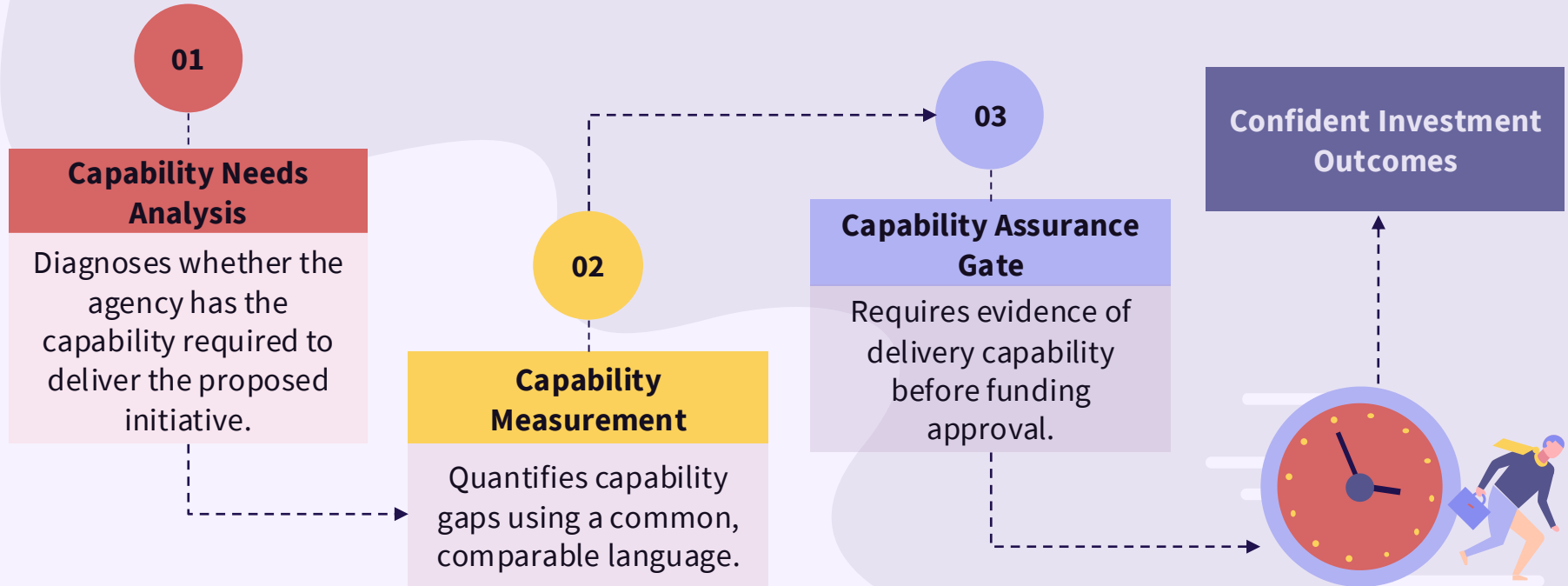
What's
missing

- Evidence of delivery readiness
- Comparable capability data
- Forward-looking workforce risk

**Capability evidence is not a mandatory
input at funding approval.**

Mandatory Capability Gate

A validated, agency-level Capability Need Analysis can diagnose whether the organisation has or can credibly build the capability required to deliver the proposed initiative, which ensures the Cabinet only releases capital to agencies where delivery readiness is evidenced.



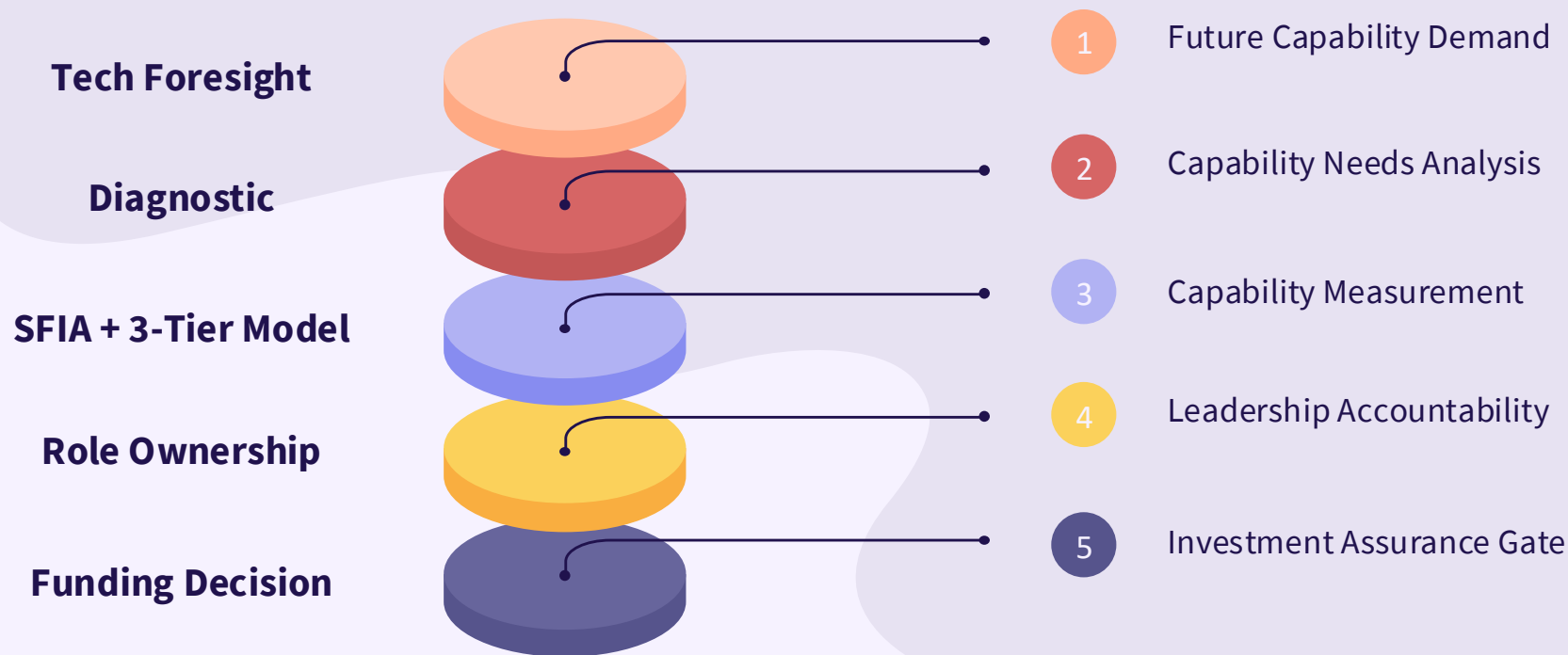
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Solution Direction



An Integrated Capability Assurance Model

The integrated assurance model spanning foresight to funding gives the GCDO a system-wide view of delivery readiness, which ensures Cabinet-level confidence that digital investment decisions are coherent, comparable, and sustainable across the entire portfolio.



Recommended Goals

Strategic Goal

Embed capability assurance into digital investment governance.

1

Objectives

- 100% of major digital investment proposals include CNA evidence at approval.
- Capability risk assessed alongside financial and delivery risk.
- Clear Cabinet line of sight from spend → capability → delivery confidence.

Tactical Goal

Standardise how capability needs are diagnosed, measured, and prioritised.

2

Objectives

- CNA outputs measured using SFIA-aligned indicators.
- Capability gaps classified consistently across agencies and domains.
- Future skill risks identified prior to investment approval.

Operational Goal

Enable proportionate adoption & accountability from agencies with minimal friction.

3

Objectives

- Light-touch CNA and reporting templates released for agencies.
- Capability actions owned and monitored post-approval.
- Reduced reliance on contractors for core delivery roles.

Proposed Roadmap

Pilot (Q3–Q4 FY26)

- Trial mandatory CNA for priority digital initiatives.
- Apply value and risk prioritisation criteria.
- Test light-touch reporting templates.

Now (Current FY)

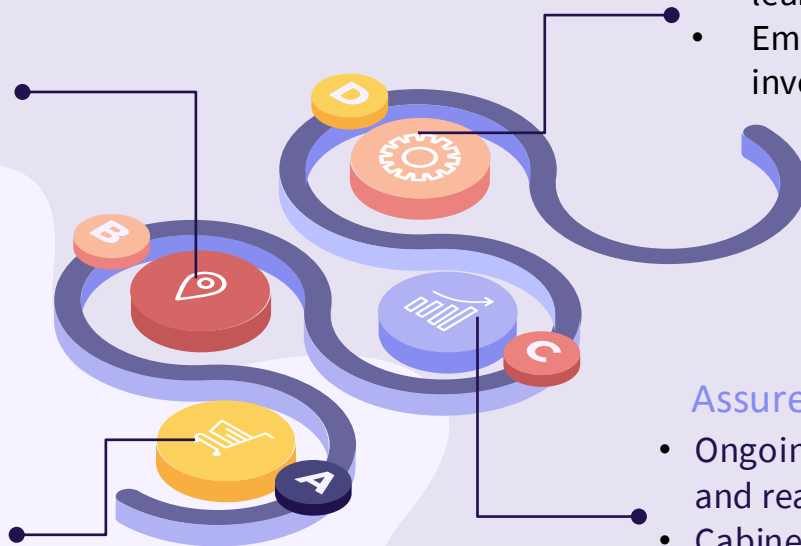
- Establish CNA as the common diagnostic baseline.
- Align CNA outputs to SFIA-NZ and BBC inputs.

Embed (Post-pilot)

- Refine guidance based on pilot learnings.
- Embed CNA evidence into investment approval.

Assure (Target State)

- Ongoing visibility of capability risk and readiness.
- Cabinet assurance linking spend, delivery confidence, and value.



THANKS!



Do you have any questions?

